

This portfolio analysis evaluates customer and financial data in order to understand how different groups of customers contribute to the company's revenue and profitability. The dataset was organized and analyzed using several analytical tools, including decile segmentation, cohort analysis, and yearly summaries. These methods allow a deeper understanding of customer value, purchasing behavior, and the long-term financial contribution of customers acquired during different time periods.

The Deciles table divides customers into ten equal groups based on their contribution to revenue or profit. Each decile represents 10% of the total customer base, ranked from the highest to the lowest value. The table includes indicators such as revenue, profit, and average margin, where the margin reflects the ratio of profit to revenue. This segmentation makes it possible to identify which customer groups generate the highest value for the company. Typically, the upper deciles show higher profitability, indicating that a relatively small share of customers contributes significantly to total profit. In contrast, lower deciles tend to generate smaller margins and therefore contribute less to overall profitability. This analysis helps the company identify its most valuable customers and focus its marketing and retention strategies more effectively.

The Cohort table groups customers according to the quarter in which they were first acquired. Each cohort represents customers who began purchasing during the same period. The table tracks several key metrics, including the number of customers, total transactions, revenue, and profit generated by each cohort. By comparing these cohorts, it becomes possible to observe how customer behavior and financial contribution vary across different acquisition periods. Some cohorts may demonstrate stronger engagement, higher transaction volumes, or greater profitability. Cohort analysis is useful because it reveals how customers perform over time and helps evaluate the effectiveness of marketing and acquisition strategies.

The Yearly summaries table provides a broader overview by aggregating financial results according to the year customers were acquired. It summarizes the total revenue and profit generated by customers from different acquisition years. This allows a comparison between older and newer customer groups. Customers acquired earlier often generate higher cumulative revenue because they have had more time to make purchases, while newer cohorts may indicate potential for future growth.

Overall, the analysis provides a comprehensive view of customer performance and financial outcomes. By combining decile segmentation, cohort analysis, and yearly summaries, the portfolio highlights patterns in customer value and long-term profitability, helping support more informed strategic and marketing decisions.